of Louisiana that the railways involved maintained unreasonable rates from Shreveport, La., to points in Texas and that they discriminated in favor of traffic within the state of Texas against traffic from Louisiana into Texas by maintaining rates out of Dallas and other points into eastern Texas, much lower than those into Texas from Shreveport. Six opinions were published by the commission, the majority opinion by Commissioner Lane, concurring opinions by Commissioners Prouty and Clark, and dissenting opinions by Commissioners Clements, Harlan and McChord. The commission found the class rates out of Shreveport to certain Texas points unreasonable and established maximum class rates for this traffic which were later put in force by the carriers. It also held that as to the commodity rates, a discrimination was created against Shreveport, and the carriers were ordered to desist from charging higher rates for the transportation of any commodity from Shreveport to Dallas and Houston and intermediate points than were contemporaneously charged for the carriage of such commodity from Dallas and Houston toward Shreveport for equal distances. This left the roads free to avoid the discrimination either by reducing the interstate rates from Shreveport or by raising the level of the competing intrastate rates. Under previous interpretations of the law the latter alternative seemed impossible, to say nothing of the probability that it would be followed by reprisals by the Texas commission, which had admittedly sought to adjust rates in the interest of Texas jobbers.

The carriers appealed to the Commerce Court on the ground that, as the discrimination arose out of the relation of intrastate rates, maintained under state authority, to intrastate rates that had been upheld as reasonable, its correction was beyond the commission's power, and that so far as the interstate rates were sustained as reasonable the commission was without authority to equalize them with the lower intrastate rates. The decision of the Commerce Court was that the order relieved the appellants from further obligation to observe the intrastate rates and that they were at liberty to comply with the commission's requirements by increasing those rates sufficiently to remove the forbidden discrimination. This holding is now affirmed by the Supreme Court.

The roads, in order to make a complete test, challenged the validity of the order on two grounds: That Congress is impotent to control the intrastate charges of an interstate carrier even to prevent injurious discrimination against interstate traffic, and that even if Congress has this power it has not exercised it, and hence the commission exceeded the limits of its authority.

These objections the Supreme Court completely swept aside. As to the power of Congress it says in part:

> The fact that carriers are instruments of intrastate commerce, as well as of interstate commerce, does not derogate from the complete and paramount authority of Congress over the latter or preclude the federal power from being exerted to prevent the intrastate operations of such carriers from being made a means of injury to that which has been confided to federal care. . . . This is not to say that Congress possesses the authority to regulate the internal commerce of a state, as such, but that it does possess the power to foster and protect interstate commerce, and to take all measures necessary or appropriate to that end, although intrastate transactions of interstate carriers may thereby be controlled.
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> It is immaterial, so far as the protecting power of Congress is concerned, that the discrimination arises from intrastate rates as compared with interstate rates. The use of the instrument of interstate commerce in a discriminatory manner so as to inflict injury upon that commerce, or some part thereof, furnishes abundant ground for federal intervention. Nor can the attempted exercise of state authority alter the matter, where Congress has acted, for a state may not authorize the carrier to do that which Congress is entitled to forbid and has forbidden.
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> It is also to be noted—as the government has well said in its argument in support of the commission's order—that the power to deal with the relation between the two kinds of rates, as a relation, lies exclusively with Congress. It is manifest that the state cannot fix the relation of the carrier's interstate and intrastate charges without directly interfering with the former, unless it simply follows the standard set by federal authority.
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> It is for Congress to supply the needed correction where the relation between intrastate and interstate rates presents the evil to be corrected, and this it may do completely by reason of its control over the interstate carrier in all matters having such a close and substantial relation to interstate commerce that it is necessary or appropriate to exercise the control for the effective government of that commerce.

With regard to the scope of the power granted to the commission the court says that the language of section three is "certainly sweeping enough to embrace all the discriminations of the sort described, which it was within the power of Congress to condemn."

The opposing argument rested upon the proviso in the first section of the act that it shall not apply to transportation wholly within one state. In discussing this point the court explains the difference between this case and the Minnesota rate case, in which the carriers had hoped for a decision similar to the one now given.

The court says, after quoting section one:

> Congress thus defined the scope of its regulation and provided that it was not to extend to purely intrastate traffic. It did not undertake to authorize the commission to prescribe intrastate rates and thus to establish a unified control by the exercise of the rate-making power over both descriptions of traffic. Undoubtedly—in the absence of a finding by the commission of unjust discrimination—intrastate rates were left to be fixed by the carrier and subject to the authority of the states or of the agencies created by the states. This was the question recently decided by this court in the Minnesota Rate Cases. There, the state of Minnesota had established reasonable rates for intrastate transportation throughout the state and it was contended that, by reason of the passage of the act to regulate commerce, the state could no longer exercise the state-wide authority for this purpose which it had formerly enjoyed; and the court was asked to hold that an entire scheme of intrastate rates, otherwise validly established, was null and void because of its effect upon interstate rates. There had been no finding by the Interstate Commerce Commission of any unjust discrimination.
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> Here, the commission expressly found that unjust discrimination existed under substantially similar conditions of transportation and the inquiry is whether the commission had power to correct it. We are of the opinion that the limitation of the proviso in section one does not apply to a case of this sort. The commission was dealing with the relation of rates injuriously affecting, through an unreasonable discrimination, traffic that was interstate. The question was thus not simply one of transportation that was "wholly within one state."

As to the contention that the prohibition of discrimination does not relate to the result of conditions wholly beyond the control of a carrier, the court says "in view that the commission was entitled to make the order, there is no longer compulsion upon the carriers by virtue of any inconsistent local requirement. So far as these interstate rates conformed to what was found to be reasonable by the commission the carriers are entitled to maintain them, and they are free to comply with the order by so adjusting the other rates, to which the order relates (the Texas rates) as to remove the forbidden discrimination. But this result they are required to accomplish."

No language could be plainer. If a state makes rates which are so low as to pull down the interstate rates the railways may apply for relief to the Interstate Commerce Commission, whose duty will then be to inquire into the reasonableness of both sets of rates. If the interstate rates are found to be reasonable the state rates may be nullified. The railways are not only permitted, but are required to raise them.

The decision should have an important bearing on the present controversy regarding allowances to industrial roads, which the Interstate Commerce Commission has ordered withdrawn, and which have been reinstated as to intrastate business by several state commissions. If the Interstate Commerce Commission persists in its opinion that these allowances are illegal as to interstate traffic the action of the state commission would clearly constitute a discrimination against interstate traffic, and under the Shreveport decision would have to give way.

The outcome, however displeasing it may be to the kind of states' rights advocates represented by the Texas Railroad Commission, should cause great satisfaction to all friends of regulation. Railway regulation is a national, not a local problem, and it must not be thwarted by the selfish or misguided motives of local authorities. As Commissioner Lane said in the original report in the case: "The theory of our constitution is that a state may not live to itself alone, either politically or commercially." The assertion of the right of a state to do so po-